CHAGEE

CHAGEE SINGAPORE

FORECAST THE PEAK, SHARE THE COUNTER

PREDICTIVE AI AND COUNTER AUTOMATION: WHAT THE GM DECIDES FOR THE BUSIEST HOUR

OPIM639 · GROUP 3 · KEZIAH, JIN, AYUMI, REVAN · OCTOBER 2026



Agenda

01 **Chagee in Singapore**
How it earns and sells

02 **From farm to cup**
Where the supply chain is stable, and where it is not

03 **The data trail**
What every cup already records

04 **Our scope**
One area, one decision-maker

05 **Predict demand**
App searches, DBSCAN and a new-store pin

06 **Share the counter**
The bucket brigade, side by side

07 **Split the counter**
Which steps stay human: the GM's call

08 **Machine ladder**
What machines exist, what they cost, when to add them

09 **The GM's playbook**
Triggers, pilot and limits



In Singapore, Chagee runs its own outlets, and every channel ends at one counter

The same team owns the counter, the app data and the call on who works the peak.

HOW A SINGAPORE CUP IS SOLD · STEP THROUGH

GROUP NET REVENUE, FY 2025 (SECONDARY SOURCE)



Franchise **88%** Company-owned **12%**, growing fastest

Singapore is company-owned: run by Chagee corporate, as is usual for new-entry markets SG

In store	walk-in, counter or kiosk
Chagee app	order ahead, collect or delivery
Grab	third-party delivery

One counter
every channel's cup is made here



44 outlets, ground-floor mall units by policy; kiosks in basements and MRT stations at entry in 2019

- **Company-run**
  Outlets are run by Chagee itself, so the GM can roll out a new counter design and roster rule centrally.
  Team check, to confirm with Chagee
- **App-first**
  Most orders come through the app, with few kiosks in store. Every order and search is logged: the raw material for a forecast.
  Team observation, to confirm
- **Why Chagee**
  A fast-growing, playful brand with heavy app use: plenty of data, and room for AI to help the stores.

TAKEAWAY | Whatever the channel, every order ends at one counter. The peak hour is where an outlet wins or loses.

Supply is standard and planned ahead; the counter feels demand within minutes

Tea leaves travel one standard route. Only fresh milk and fruit are bought locally.

FOLLOW ONE CUP · STEP THROUGH



Source

Tea leaves from Yunnan through standard channels for every market

DATA CREATED

Shipments, lead times

Local: fresh milk, fruit

Warehouse

Separate central and regional warehouses keep storage and logistics costs down

DATA CREATED

Stock vs par, expiry

Outlet counter

Machines brew each cup from a scanned recipe; people do ice, toppings and hand-over

DATA CREATED

Cups by hour

Wait times

Last mile

Self-collect, Chagee app delivery or Grab; riders wait at the same counter

DATA CREATED

Orders by channel

Rider wait

Customer

Orders in the app, collects at the counter, comes back (or not)

DATA CREATED

App orders, drop-offs

- **Stable upstream**
  Standard sourcing, regional warehouses and forecast-led restocking: Chagee already plans this part.
  YF Chuhai; Chagee Form 20-F
- **Volatile downstream**
  Demand at a counter moves by the hour: lunch, a mall event, rain, a new drink launch.
- **So we stop at the counter**
  The open question is not the shipment. It is how many people the counter needs this hour, and how they work.

TAKEAWAY | Chagee already plans its stock. The open problem is matching people to the hourly peak.

Every cup is already a timestamped record: the inputs for a forecast exist today

Four data sources and six decisions they could feed. We follow the four that start in the app and end at the counter.

WHICH SOURCE FEEDS WHICH DECISION · STEP THROUGH

	Store and production	App and members	Delivery	Supply and context
Demand forecasts	Cups per hour by drink and channel	Member repeat demand	Orders per hour by platform	Weather, holidays, launches
Staffing and prep	Wait times, machine logs	Pickup no-shows	Hand-over peaks	Labour hours vs cups per hour
Replenishment	Drink mix per outlet	Launch trial rates	Group-order toppings	Ingredient use, expiry, par
Queue and capacity	Wait time, footfall vs sales	Store-select drop-offs	Rider wait at counter	Stock-outs at peak
Site selection	Sales density per outlet	"No store nearby", home and work	Distance and fee by postcode	Mall footfall, competitors
Menu and promos	Drink share, customisation	Trial and repeat, voucher uplift	Delivery basket mix	Collab calendar

White chips mark the core input; grey text refines it. Red rows: our scope.

- **No new sensors needed**
  Point-of-sale, app and machine logs already exist. The work is joining them by outlet and hour.
- **The app is the link**
  Only the app ties a cup to a person. That needs consent and care under Singapore's data protection law (PDPA).
- **What we take forward**
  Demand forecast, then staffing, then queue capacity: one chain that ends with the GM's counter and roster.

TAKEAWAY | The data for an hourly forecast is already collected. What is missing is turning it into a roster.

One area, the in-store peak, and one decision-maker: the GM

Ideation gave us three improvement areas. The counter is where AI and the course's operations tools meet.

FROM THREE IDEAS TO ONE · STEP THROUGH

FUTURE WORK

Online retailing

Steer orders between app pickup and Grab by hour.

Needs platform fees and price tests we do not have.

FORECAST ONLY

New stores

Forecast a new outlet from app searches (slide 05).

Rent, fit-out and payback stay future work.

OUR FOCUS

In-store operations

Forecast the peak, set the roster, share the counter.

Data exists, the decision is daily; Topic 3 forecasting, Topic 6 bucket brigades.

AI · PREDICTIVE

Forecast cups per hour from history, calendar and app orders.

AUTOMATION, NOT AI

Machines do the fixed steps, such as dispensing tea from a scanned recipe.

OPERATIONS TOOLS, NOT AI

Bucket brigade and cross-training: how people share the hand steps.

The GM

General manager, Chagee Singapore

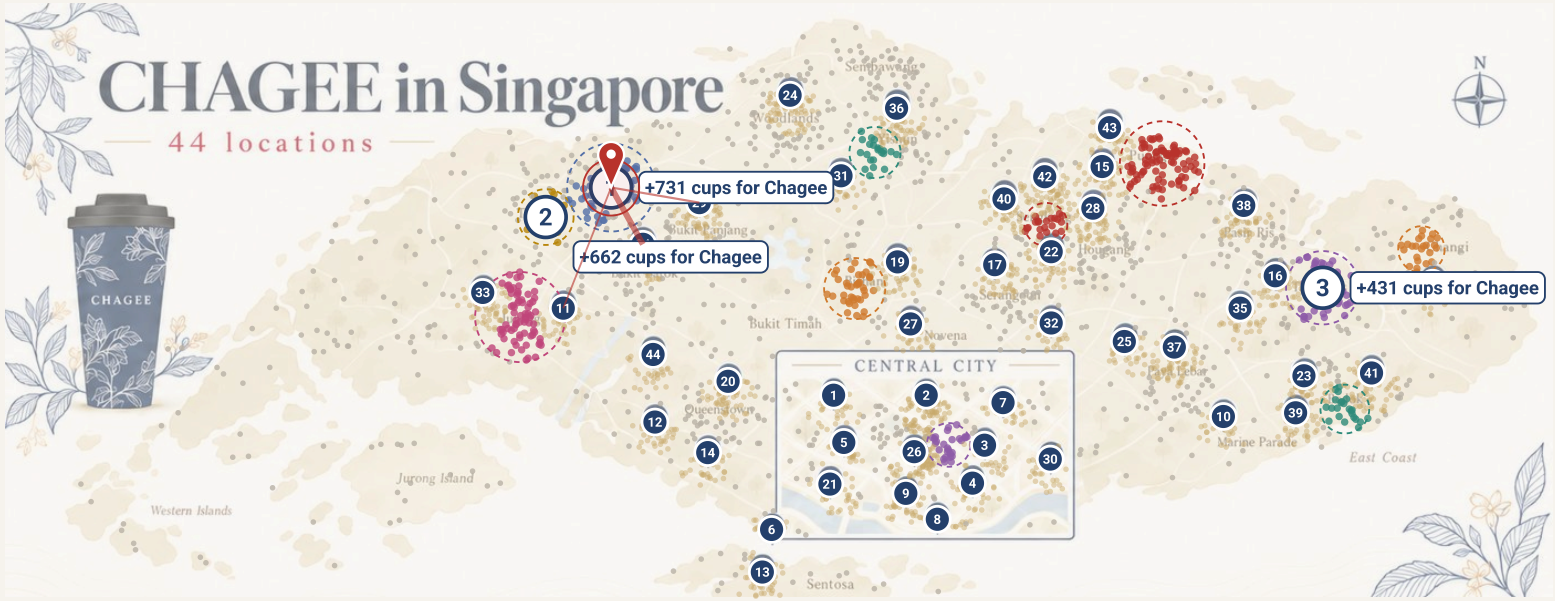
DECIDES	Which counter steps go to robots, how many people work the peak, and how they share it
WHEN	Before a store opens, and when rosters are set
USES	The forecast and the counter simulation
TODAY	To confirm with Chagee: how rosters are set now

TAKEAWAY | Predictive AI says how many people the peak needs; the GM decides which steps robots do; the bucket brigade decides who does what.

Where would outlet 45 add the most cups for Chagee?

Not what a new store sells, but what it adds once you subtract the cups it takes from nearby outlets.

NEW-STORE FORECAST



SUGGESTED SITE 1 · 2.7 KM FROM 34 · WEST MALL

Strong site: mostly new cups

+731 cups a day for Chagee

The new store sells 837 a day (1.5× an average outlet). 106 of those move from outlets nearby:

34 · West Mall, 2.7 km	**−77**
29 · Bukit Panjang Plaza, 3.3 km	**−28**

Peak hour 13:00: **92 cups** → **2 people** on today's counter (slides 06–07).

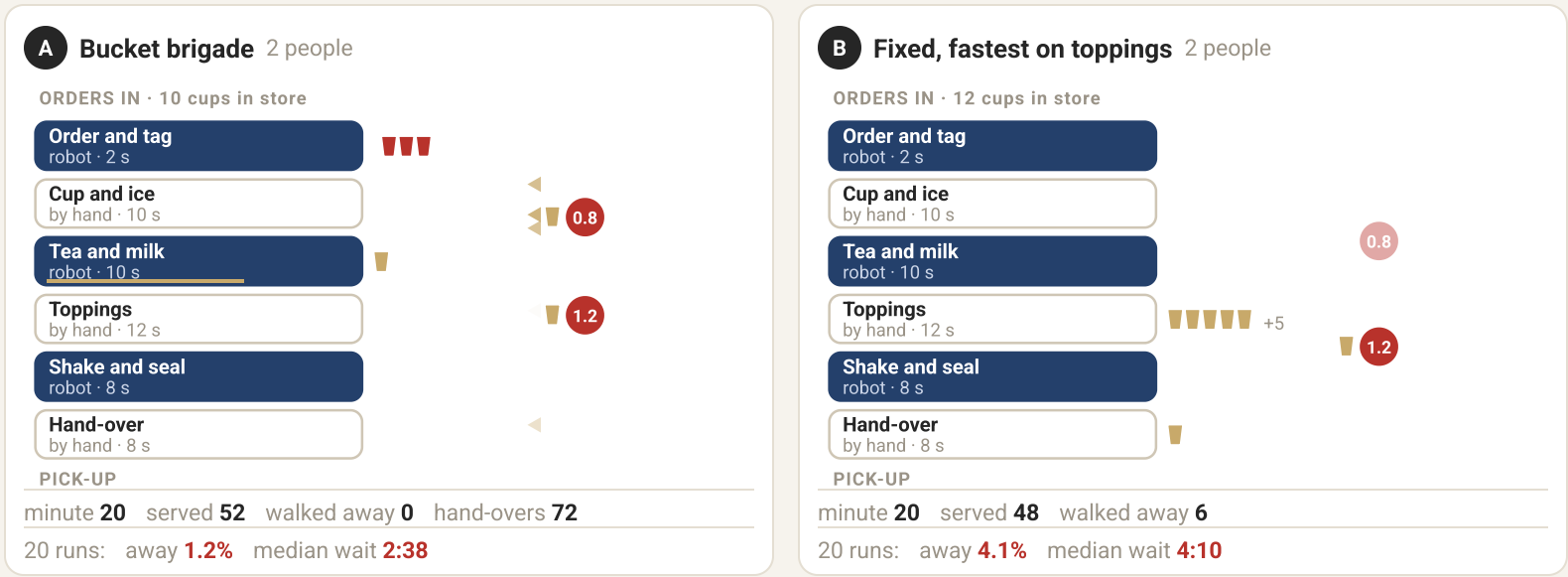
Synthetic app data on the team's map; outlet positions approximate (the central inset is enlarged). Not a trained model: the point is the method.

TAKEAWAY | Judge a site by what it adds to Chagee, not what it sells. The top cluster, near Choa Chu Kang, adds about 731 cups a day; a store beside an existing outlet would sell plenty, but about 80% of it is moved from that outlet.

With a lean roster, a bucket brigade keeps cups moving without knowing who is fastest

Today's counter, two ways of sharing the hand steps, side by side. Pick what each side runs.

PEAK HOUR · SAME CUSTOMERS ON BOTH SIDES



Red circle = a person (number = speed) · gold ring = held back · faded = walking · ▲ = hand-over · navy = robot · red cup = waiting for a person

ALL THREE RULES, MEAN OF 20 RUNS

EVENT DAY, 2 PEOPLE	WALKED AWAY	MEDIAN WAIT
Bucket brigade	**1.2%**	**2:38**
Fixed, fastest on toppings	4.1%	4:10
Fixed, slowest on toppings	34.9%	9:47

At the people on side A. A customer leaves if the wait would pass 5 min. With spare people, a well-assigned fixed line is as good or a little faster.

Why lean is where it counts

Work flows to whoever is free, so the line balances itself (Topic 6). Fixed stations are only as good as the guess of who is fast.

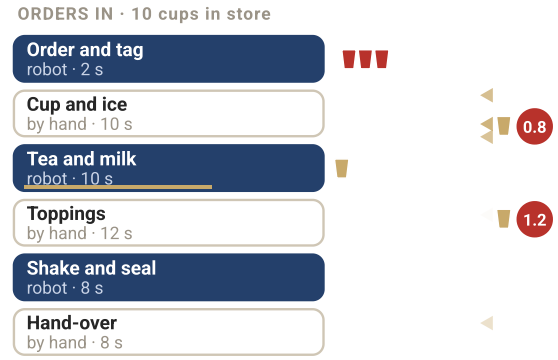
TAKEAWAY | At the forecast's roster on an event day, the brigade loses about 1.2% of orders; fixed stations lose 4.1% to 35%, depending on who is on toppings.

Which steps stay human? Robots buy a shorter wait; on a normal day, people are still cheaper

Choose a split for each side, or click any station to hand it to a robot or a person, then run the peak hour.

PEAK HOUR · SAME CUSTOMERS ON BOTH SIDES

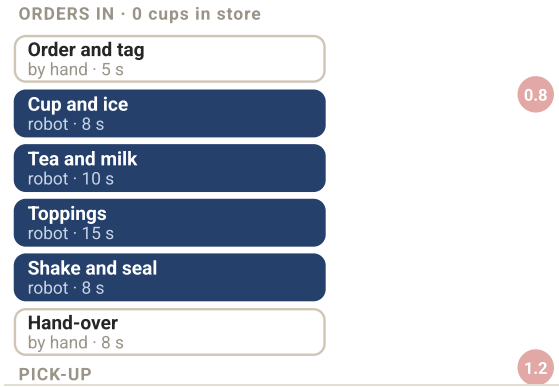
A **Today's counter** 2 people, brigade



minute **20** served **52** walked away **0** hand-overs **72**

20 runs: away **1.2%** wait **2:38** **S$402**/day

B **Machines make the drink** 2 people, fixed posts



minute **20** served **57** walked away **0**

20 runs: away **0.0%** wait **1:06** **S$465**/day

Navy = robot, white = by hand (click to switch) · red circle = a person · faded = walking · red cup = waiting for a person.

ALL FOUR SPLITS, MEAN OF 20 RUNS

EVENT DAY	PEOPLE	WALKED AWAY	WAIT	COST/DAY
Today's counter ✓	**2**	**1.2%**	**2:38**	**S$402**
Machines make the drink	2 fixed	0.0%	1:06	S$465
All by hand	4	0.0%	1:25	S$422
All robots	–	0.0%	0:58	S$562

✓ cheapest within the limit · fastest: All robots

Each split gets the fewest people, from the forecast roster up, and the better sharing rule that keep walk-aways within 2%. Cost per day: people hours at the wage plus robots at their monthly cost.

TAKEAWAY | On an event day, Today's counter is the cheapest split within the walk-away limit, at about S$402 a day. Machines make the drink needs 2 people at fixed posts and costs about S$64 more, for a median wait of 1:06.

What machines exist, what they cost, and when to add them

To our knowledge, based on public sources; vendor list prices, not the cost to implement. Chagee's own equipment cost is not public; its Singapore relaunch used semi-automated equipment (Vulcan Post).

THE LADDER · NAVY = STEPS ON MACHINES

RUNG · EXAMPLE	VENDOR LIST PRICE · SOURCE	STEPS ON MACHINES	BEATS HAND, CUPS/DAY
1 **Semi-automation** Gong Cha Singapore	*Not disclosed* PRESS	Tag Cup Tea Top Seal Hand	278–555
2 **Beverage platform** Gong cha Super Wu, Feb 2026	*Not disclosed* COMPANY CLAIM	Tag Cup Tea Top Seal Hand	278–693, 833
3 **Milk-tea machine** Amacha, one small shop	S$10,000 to buy PRESS	Tag Cup Tea Top Seal Hand	278–693, 833
◯ **Today's split** Our scenario (slides 06 and 07), not Chagee's disclosed setup	Model: S$1,909/mo per station unit OUR ASSUMPTION	Tag Cup Tea Top Seal Hand	Not in this range
4 **Robot arm** Richtech ADAM, makes boba	*Not disclosed, rental only* VENDOR PAGE	Tag Cup Tea Top Seal Hand	No price to test
5 **Robot barista** Oli; coffee-first, no tea listed	US$4,990/mo lease, US$59,000 buy VENDOR PAGE	Tag Cup Tea Top Seal Hand	833 at lease

Green = beats all by hand, across our per-outlet range of 278 to 833 cups a day; red line = your outlet. Rosters step in whole people, so wins come and go. The model's S$1,909 a month is per station unit (our reading: a semi-automated station); robot prices are per setup.

Your outlet: 556 cups a day, wage S$15.06 an hour, S$1,909 a month per station unit (the model's defaults; sliders on screen).

A MONTH	LABOUR SAVED	AGAINST ALL BY HAND
Semi-automation	S$3,614	**Break-even: setup under S$3,614/mo** Model: 2 × S$1,909, S$203 more
Beverage platform	S$3,614	**Break-even: setup under S$3,614/mo** Model: 1 × S$1,909, beats by S$1,706
Milk-tea machine	S$3,614	**Payback 2.8 months on S$10,000** Model: 1 × S$1,909, beats by S$1,706
Today's split	S$5,422	**S$305 more** Model: 3 × S$1,909
Robot arm	S$5,422	**Break-even: setup under S$5,422/mo** No public price
Robot barista	S$5,422	**Oli lease S$6,350: S$928 more** Buy US$59,000: payback 13.8 months

Model rule, an assumption: at least 1 person on the counter all day with machines, 2 by hand; so robot rungs save no more labour than today's split until about 757 cups a day. Station speeds are the model's, not vendor claims. Simple payback = list price ÷ labour saved a month; excludes installation, training, maintenance, power, space, import, financing.

TAKEAWAY | At 556 cups a day, the beverage platform and the single automated milk-tea machine pay at the model's rate. Robot rungs save no more labour than today's split until about 757 cups a day, under the model's one-person rule.

Choose the split, roster to the forecast, and share the work to suit the split

Three moves for the GM, each with a trigger, then a pilot to test them.

WHAT THE FORECAST CHANGES, PEAK HOUR, TODAY'S COUNTER

DAY	FORECAST PEAK, CUPS PER HOUR	PEOPLE AT THE PEAK	WALK-AWAYS, FORECAST ROSTER AND BRIGADE	WALK-AWAYS, NORMAL-DAY ROSTER
Normal day	61	**1**	0.9%	0.9%
Busy day	92	**2**	0.0%	**20.8%**
Event day	153	**2**	1.2%	**53.8%**

1 Choose the split

Robots where speed matters more than cost; people where the work varies: tagging and hand-over.

2 Roster to the forecast

On today's counter, one more person for about every 83 forecast cups in the peak hour.

3 Share to suit the split

A brigade when hand steps sit along the line; fixed posts when machines make the drink.

- **Next step: pilot in 3 outlets**

  Shadow forecast only | **Roster** staff to it | **Roll out** if KPIs hold

  KPIs: cups per labour hour, wait time, walk-aways at the peak. Compare forecast and actual cups weekly.

- **Limits we know**

  All figures are illustrative assumptions, not Chagee data. Robot speeds and costs are assumed; breakdowns and breaks are not modelled.

- **To confirm with Chagee**

  How rosters are set today, robot costs per station, and whether outlets log wait times and walk-aways.

TAKEAWAY | Predictive AI sets how many people; the split sets what robots do; the sharing rule sets who does what. Next, test it in 3 outlets.

THANK YOU

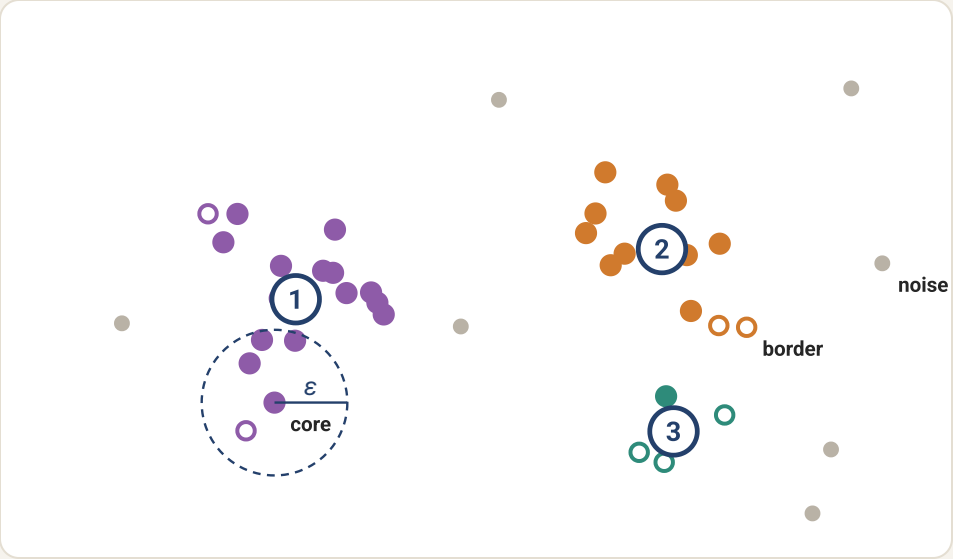
QUESTIONS AND DISCUSSION

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DBSCAN finds where searches bunch up; a proximity model turns a pin into cups

DBSCAN IN FOUR MOVES · TOY EXAMPLE



1. **Radius ε.** Two searches are neighbours if they are within ε of each other (the cluster-radius slider).
2. **Core.** A search with at least the minimum number of searches within ε (counting itself) is a core point.
3. **Grow.** A cluster spreads from core to core. Searches it reaches that are not core join as border points.
4. **Noise.** Searches no cluster reaches. Unlike k-means, nobody picks the number of clusters, and odd shapes are fine.

Unsupervised: no labels or past openings are needed. Ester, Kriegel, Sander and Xu (1996). On slide 05 it runs only on searches with no outlet within walking distance; each cluster's centre is a candidate site.

THE SIMULATED NUMBERS, IN ORDER · AT THE SLIDER DEFAULTS

1	**App searches**	Synthetic dots on land: 15% spread evenly, 35% around the outlets' malls, the rest around 20 towns	**3,000 dots**
2	**No store nearby**	The nearest outlet is further than the walking distance	**1 km · 46% of dots**
3	**DBSCAN**	Clusters the no-store-nearby dots	**ε 0.6 km · min 15 · 11 clusters**
4	**Pull of a store**	Fades with distance d: exp(−½ (d/L)²), with the length L set by the walking distance	**L = 1 km**
5	**Who buys where**	A dot buys at a store in proportion to its pull, against the pull of not buying (a store next door = one)	**not buying 0.3**
6	**Calibration**	Each dot's weight is set so the average outlet sells the deck's cups a day (cups a year ÷ open days)	**556 cups a day**
7	**Score a pin**	Cups for Chagee = what the new store sells − what it moves from nearby outlets	**top: 837 − 106 = +731**
8	**Verdict**	Share of the new store's cups that are new to Chagee	**strong ≥ 60% · weak < 40%**
9	**Opening roster**	Peak-hour cups ÷ cups one person handles, with the safety margin	**one per 83 cups**

All synthetic: the dots, towns and weights are assumptions on the team's map (not to scale), not Chagee app logs or population data. With real app logs, steps one and two change; the rest runs unchanged.

Where every number comes from

FACTS QUOTED

Outlets in Singapore: 44. Store count used on the storyboard deck. The doc also cites 46 (VnExpress, earlier); the later directory count is used. *[L-sg-directory]*

Franchise share of FY2025 net revenue: 0.88. Secondary source; flagged wherever shown. *[L-koalagains]*

Company-owned share of FY2025 net revenue: 0.12. Secondary source; flagged wherever shown. Singapore sits in this group (I-sg-owned). *[L-koalagains]*

SOURCES

L-sg-directory Chagee Singapore store directory, mapped by the team (44 locations, checked 15 Oct 2026); Mothership, Sep 2026, https://mothership.sg/2026/09/chagee-more-heartland-stores-singapore-eugene-lee/ gives the same count. Taken from the team's ideation doc (OPIM 639_ Ideation Process), not re-checked for this deck.

L-koalagains KoalaGains, 'CHA business and moat', https://koalagains.com/stocks/NASDAQ/CHA/business-and-moat (SECONDARY - flag when used): FY2025 net revenue about 88% from the franchise (master franchise) model and about 12% from company-owned stores, the latter growing fastest. Taken from the team's ideation doc (OPIM 639_ Ideation Process), not re-checked for this deck.

L-yfchuhai YF Chuhai, https://www.yfchuhai.com/article/9751.html: Chagee's leaf supply chain is in China; it sources only two ingredients locally, fresh milk and fruit. Taken from the team's ideation doc (OPIM 639_ Ideation Process), not re-checked for this deck.

L-sec20f Chagee Holdings Form 20-F for FY2025, SEC EDGAR, https://www.sec.gov/Archives/edgar/data/2013649/000110465926050766/cha-20251231x20f.htm: separate centralized and regional warehouses to lower storage and logistics costs. Taken from the team's ideation doc (OPIM 639_ Ideation Process), not re-checked for this deck.

L-unsw UNSW BusinessThink, Oct 2024: Chagee semi-automation, baristas scan a QR code and the machine dispenses the formulation. (brief.md section 9)

I-sg-owned INFORMAL - team check recorded as a comment in the ideation doc: Singapore is company-owned and run by Chagee corporate, usual for new-entry and smaller markets. The underlying source is not named; confirm before presenting.

I-sg-groundfloor INFORMAL - quote in the team's ideation doc (Chagee Singapore's Lee: 'Whenever you see a Chagee, it's always on the first floor'; kiosk-style outlets in basements and MRT stations at entry in 2019). The article is not named in the doc; confirm the source before quoting.

I-team-app-first INFORMAL - team observation in the ideation doc: Chagee Singapore sells mainly through its app, with minimal order kiosks in outlets. Confirm before citing.

L-ester1996 Ester, M., Kriegel, H.-P., Sander, J. and Xu, X. (1996). A density-based algorithm for discovering clusters in large spatial databases with noise. Proceedings of the Second International Conference on Knowledge Discovery and Data Mining (KDD-96), 226-231. The DBSCAN algorithm used on slide 05.

ASSUMPTIONS (ASSUMPTIONS.JSON, ILLUSTRATIVE)

Cups per outlet per year: 200000 cups/store/year

Share of the day's cups in each open hour: 0.04, 0.06, 0.1, 0.11, 0.08, 0.08, 0.09, 0.1, 0.1, 0.09, 0.08, 0.07 share of daily cups per open hour (10:00 to 22:00), sums to 1

Busy and event day multipliers: none 1, moderate 1.5, large 2.5 x forecast arrival rate

Busiest hours the multiplier lands on: 2 busiest forecast hours that get the surge

Seconds per cup by hand, per station: ticket 5, cup ice 10, tea milk 15, topping finish 12, shake seal 10, handover 8 seconds of one average worker per cup

Seconds per cup by robot, per station: ticket 2, cup ice 8, tea milk 10, topping finish 15, shake seal 8, handover 6 seconds per cup per machine unit

Stations the robots do today: ticket, tea milk, shake seal

Spread of worker speeds: 0.2 +/- share around average speed

Minute-to-minute variation in pace: 0.25 coefficient of variation, minute to minute

Share of new staff: 0.25 share of roster in first months

New staff speed: 0.7 x average speed

Coordination loss, people around robots: 0.9 multiplier on human-pool throughput in the mixed setup

Minimum people on the counter: all human 2, mixed 1, all machine 0 workers per open hour

Roster safety margin over the forecast: 1.2 x forecast peak rate

Labour cost per hour worked (SGD): 15.06 SGD per hour worked, fully loaded (statutory costs)

Robot cost per station unit per month (SGD): 1908.75 SGD per station machine unit per month

Attendant hours, all-robot counter: 1 workers per open hour

Walk-away limit for the GM's split table: 0.02 share of peak-hour orders that walk away

Synthetic app-intent dots (slide 05): 3000 synthetic app-intent dots on the map

Walking distance to collect: 1 km a customer will walk to collect

Distance decay, share of the walking distance: 1 distance decay length as a share of walk_km

Pull of not buying: 0.3 pull of not buying, against a store next door (= 1)

DBSCAN cluster radius: 0.6 km

DBSCAN minimum searches: 15 dots within eps to form a cluster core

Map scale: 0.033 km per map pixel

Wait at which a customer walks away: 5 minutes

Walking-back speed (Week 5 units): 6 lines per hour

CLAIMS WE DID NOT MAKE

No Chagee sales, staffing or wait-time data is used; the forecast is not a trained model. We do not claim the bucket brigade always beats fixed stations: with spare staff, a well-assigned fixed line is as good or slightly faster. Machine breakdowns, breaks and order mix are not modelled.